AL MIRATH

East Africa Real Estate Market Outlook 2023

2019-2023 market context, opportunity signals and infrastructure enablers

Corporate Expansion & Real Estate Opportunity Intelligence

Prepared from the Al Mirath analytical dataset | Reporting cut-off: 2023

Executive Summary

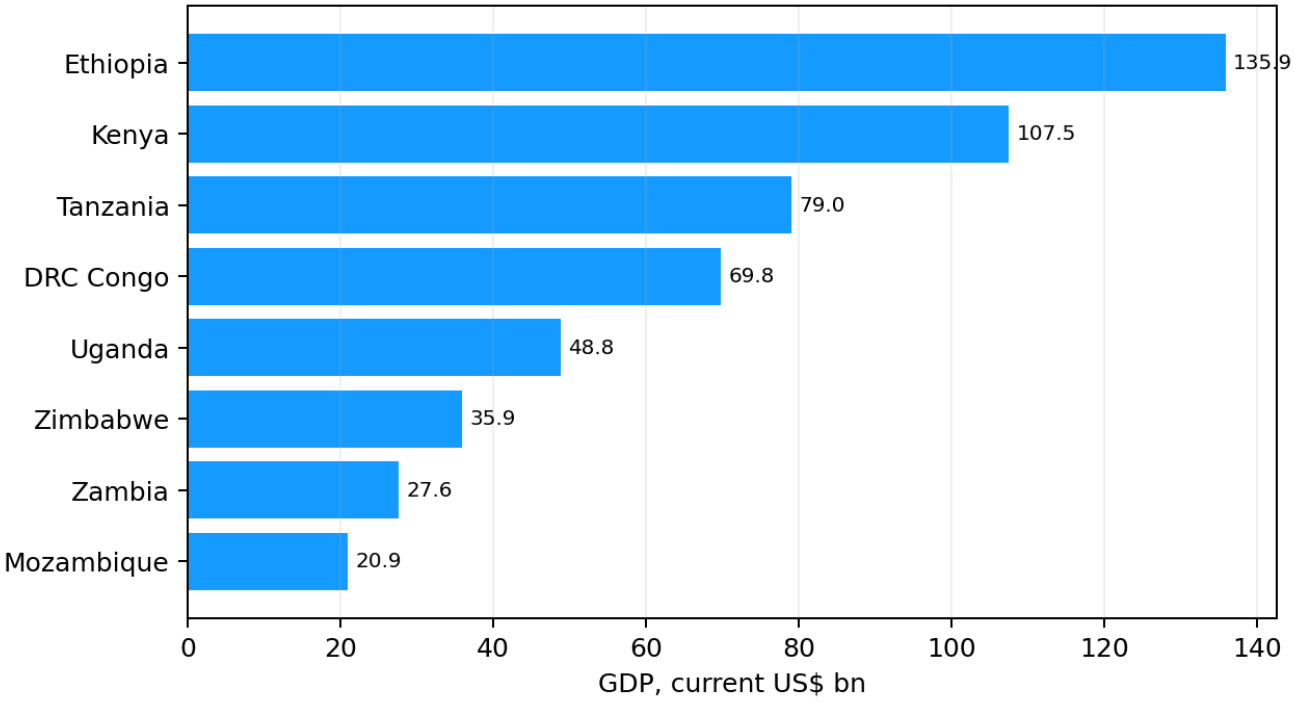
2023 regional GDP	Avg. GDP growth	Demand index	Opportunity signals
$605.6B	**5.3%**	**109.4**	**18**
19-country project scope	17 countries with growth data	2019 = 100	In-scope signals to 2023

- East Africa entered 2023 with a broad growth rebound: the equal-weight average GDP growth rate across available countries in the project scope was 5.3%.
- The regional demand proxy rose from 100.0 in 2019 to 109.4 in 2023 after a temporary decline in 2020, indicating improving macro-supported demand conditions in the model.
- The 2023-cut opportunity register contains 18 in-scope property-related signals with a modelled property-ticket value of $72.9M; 11 score at or above the 70-point high-priority threshold.
- Industrial and logistics uses dominate the opportunity set, aligning with manufacturing expansion, port activity, trade facilitation, data-centre investment and regional distribution requirements.
- Availability, rents and property valuations remain the largest evidence gaps. The dataset deliberately separates verified observations from illustrative scenario fields.

Interpretation note: “opportunity signals” are screening leads, not confirmed listings or transactions. Scenario budgets, demand indices and rent/yield inputs are modelled and should not be presented as independently verified market evidence.

1. Macroeconomic Environment in 2023

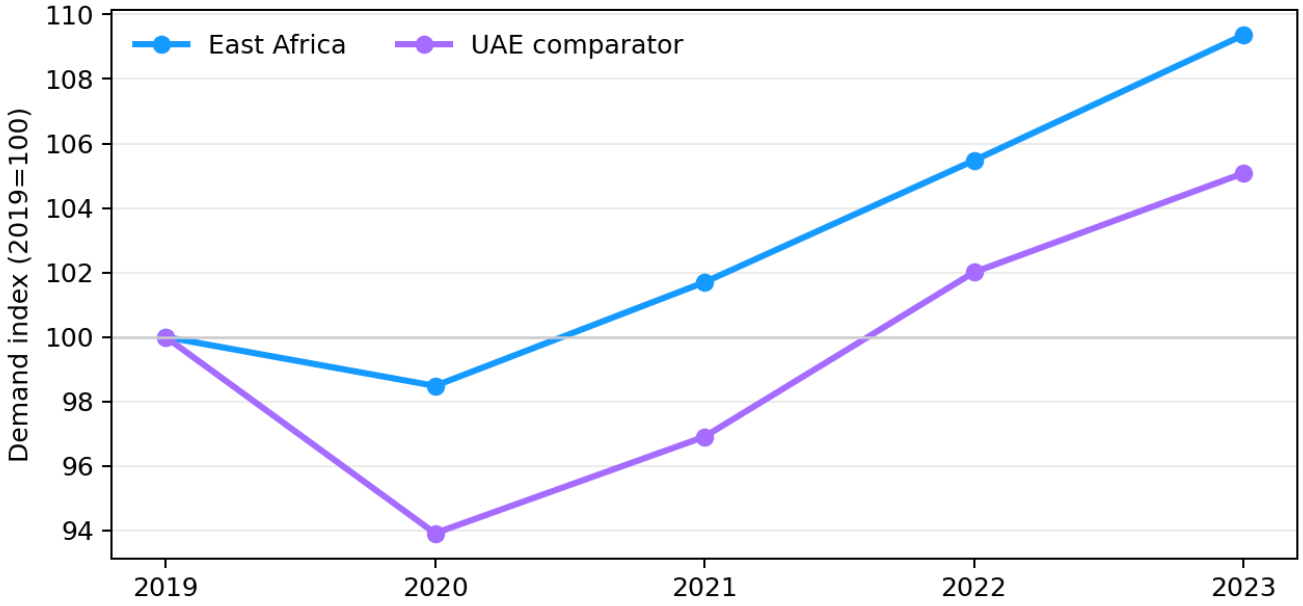
Regional GDP	Avg. growth	Avg. inflation	Avg. FDI inflows
$605.6B	**5.3%**	**11.2%**	**3.9%**
sum of available 2023 GDP	equal-weight available countries	available 2023 values	of GDP, available values



Largest economies in the 2023 project scope

- Ethiopia, Kenya, Tanzania and the DRC formed the largest GDP bases in the dataset, providing scale for occupier demand and supply-chain investment.
- Rwanda and the DRC recorded the strongest 2023 growth rates in the supplied macro data, while Djibouti and Ethiopia also expanded above 6%.
- Inflation remained a material constraint in several markets, especially Ethiopia, Malawi, Burundi and Rwanda, affecting development costs, financing conditions and tenant affordability.
- FDI intensity was highest in Mozambique and Seychelles in the 2023 dataset, with Uganda, Somalia and Mauritius also showing relatively strong inflow ratios.

2. Real Estate Demand Trajectory, 2019-2023

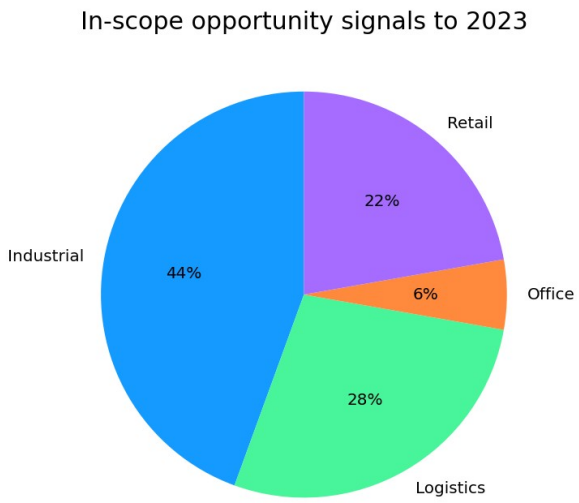


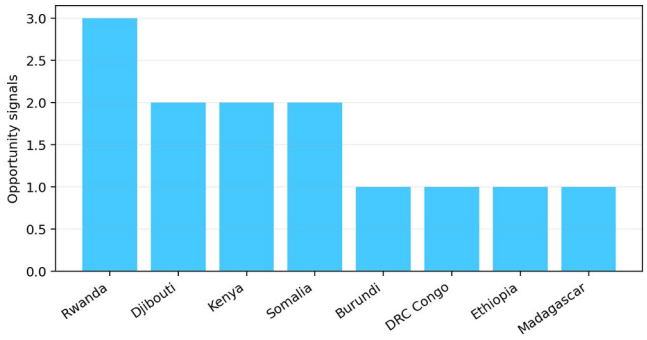
- The East Africa demand proxy fell to 98.5 in 2020, then recovered to 101.7 in 2021, 105.5 in 2022 and 109.4 in 2023.
- The UAE comparator also recovered after a sharper 2020 contraction, reaching 105.1 in 2023.
- The model links demand to macro GDP growth using a 0.70 scenario elasticity. It is a directional planning tool, not a measured vacancy, take-up or absorption series.

Demand index methodology: 2019 is normalized to 100. The East Africa series uses equal-weight available-country GDP growth; Eritrea and South Sudan were excluded where growth data were unavailable.

3. Opportunity Landscape as at 2023

Signals	Modelled value	Avg. score	High priority
18	**$72.9M**	**69.9/100**	**11**
In-scope, signal year <=2023	scenario property budgets	existing screening score	score >=70

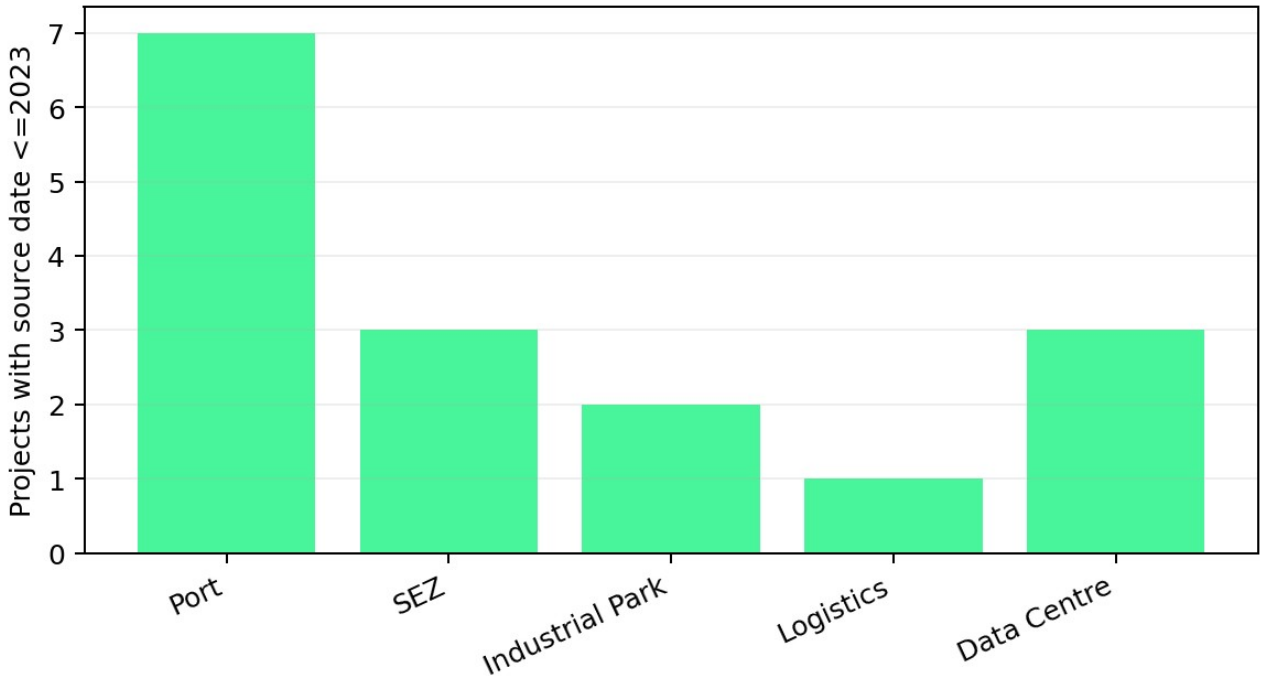




- Industrial accounts for 8 of the 18 2023-cut signals, followed by logistics (5), retail (4) and office (1).
- Rwanda leads the 2023-cut country count, while Djibouti, Kenya and Somalia also register multiple in-scope signals.
- The opportunity register should be treated as a pipeline of research leads. Property availability, final capital requirements and investability require separate verification.

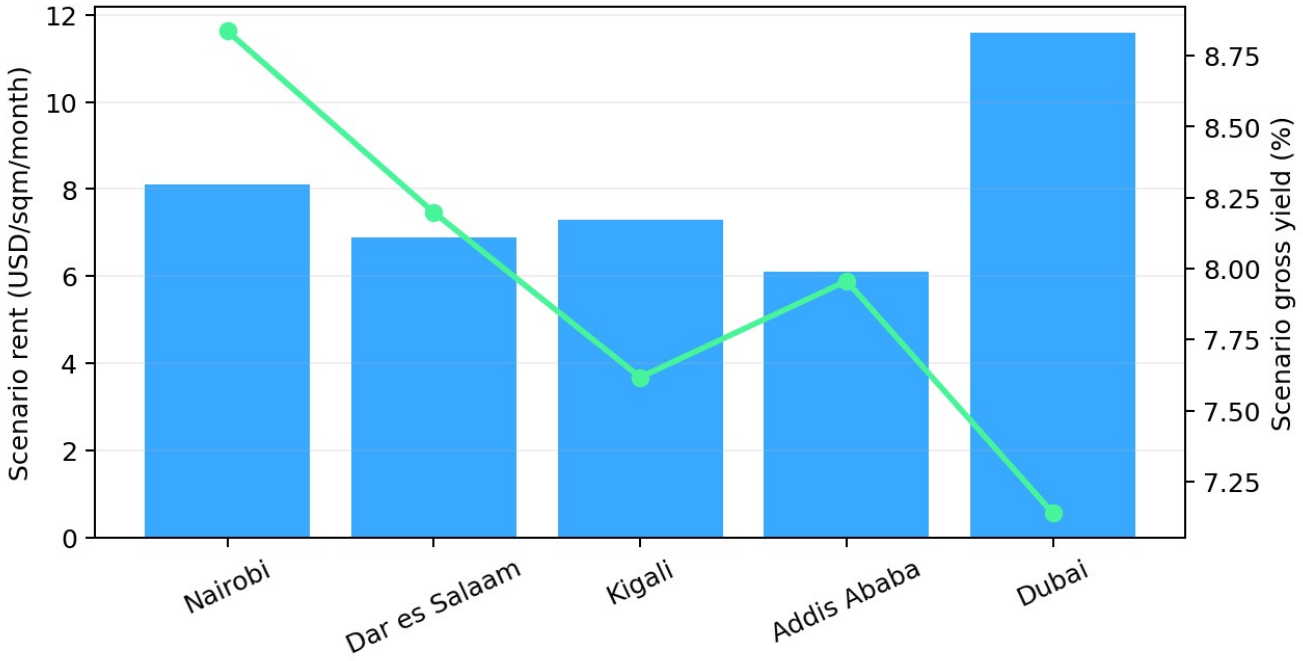
4. Infrastructure and Logistics Enablers

Projects reviewed	Ports	SEZs	Data centres
16	**7**	**3**	**3**
source date <=2023	maritime & inland port projects	special economic zones	source-dated by 2023



- Ports and inland logistics infrastructure dominate the pre-2024 project set, supporting cross-border distribution and industrial location decisions.
- Key examples include the Port of Bujumbura modernization, Djibouti International Free Trade Zone, Modjo Dry Port, Kigali Special Economic Zone, Berbera Economic Zone and the 2023 Dar es Salaam port concession.
- Industrial parks and data-centre assets broaden the opportunity base beyond transport infrastructure, particularly in Ethiopia, Rwanda, Mauritius and Uganda.

5. Illustrative Industrial & Logistics Rent/Yield Comparison



City	Scenario rent USD/sqm/mo	Scenario cap value USD/sqm	Scenario gross yield
Nairobi	8.1	1,100	8.8%
Dar es Salaam	6.9	1,010	8.2%
Kigali	7.3	1,150	7.6%
Addis Ababa	6.1	920	8.0%
Dubai	11.6	1,950	7.1%

These rent and yield figures are editable scenario inputs, not observed 2023 market comparables. They are included only to demonstrate a consistent comparison framework and should be replaced with verified evidence before external circulation.

6. 2023 Outlook: Opportunities, Risks and Priorities

Opportunity themes

- Industrial and logistics demand remains the clearest cross-market theme in the supplied 2023-cut data, supported by manufacturing, ports, SEZs, distribution centres and data infrastructure.
- High-growth markets such as Rwanda, DRC Congo, Djibouti and Ethiopia offer expansion potential, but require careful market-by-market assessment of land, financing and execution risk.
- Kenya, Tanzania and Uganda remain strategically important due to economic scale, trade links and logistics connectivity.

Key risks

- Inflation and currency pressure can materially affect construction costs, tenant affordability and imported materials.
- Available land, verified property values and observed rent/yield evidence are incomplete in the source dataset and should be treated as due-diligence priorities.
- Infrastructure announcements do not automatically translate into investable real estate. Project status, timing and accessibility require verification.

2023 strategic priorities

- Prioritize industrial/logistics screening in markets with strong growth plus infrastructure connectivity.
- Build verified city-level rent, vacancy, land and cap-rate datasets before making valuation or return claims.
- Use the opportunity score as a screening mechanism only; advance high-priority leads into property-specific diligence rather than treating the score as an investment rating.

7. Methodology and Data Notes

- Reporting period: 2019-2023. Macro data are taken from the imported Macro_Source_2019_2023 table in the Al Mirath workbook.
- Opportunity analysis in this report is restricted to records marked In Dashboard Scope = 1 with Signal Year <= 2023.
- High priority means Opportunity Score >=70, consistent with the workbook methodology.
- Estimated property values are modelled property-ticket budgets, not verified transaction values or disclosed corporate capex.
- Available land remains unverified where the source does not establish land on offer. Site footprint and indicative land requirement are not substitutes for availability.
- Demand Index is a modelled macro proxy with 2019=100 and a 0.70 GDP-growth elasticity. It is not observed property demand.
- Scenario rent and yield inputs are illustrative and not sourced market comparables.

Dataset component	Use in this report
Macro_Source_2019_2023	GDP, growth, GDP per capita, inflation and FDI for the 2019-2023 project scope.
RE_Demand_Trend	East Africa and UAE modelled demand index, 2019-2023.
RE_Opportunities	In-scope property-related screening signals and scenario property budgets.
Infrastructure	Infrastructure, SEZ, port, logistics and data-centre context; report restricts examples to source dates <=2023.
RE_Market_Rent_Yield	Illustrative 2023 industrial/logistics rent and gross-yield comparison framework.